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**SENATE COMMITTEE ON  
BANKING AND FINANCIAL INSTITUTIONS**  
**Senator Monique Limón, Chair**  
**2021 - 2022 Regular**

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|--------------------|------------------------|----------------------|---------------|
| <b>Bill No:</b>    | SB 531                 | <b>Hearing Date:</b> | April 7, 2021 |
| <b>Author:</b>     | Wieckowski             |                      |               |
| <b>Version:</b>    | March 24, 2021 Amended |                      |               |
| <b>Urgency:</b>    | No                     | <b>Fiscal:</b>       | Yes           |
| <b>Consultant:</b> | Michael Burdick        |                      |               |

**Subject:** Consumer debt

**SUMMARY** Requires a debt collector to which a delinquent debt has been assigned for collection to provide a statement to a debtor, upon their request, that includes specified information, including the date the debt became delinquent or the date of the last payment. Prohibits a creditor from selling a consumer debt or assigning to a third party the right to collect payments unless the creditor has provided a notice to the debtor at least 30 days before selling the debt that contains certain information, including the dollar amount of the outstanding debt and the identity of the person who will purchase the debt.

**EXISTING FEDERAL LAW**

- 1) Provides the Fair Debt Collection Practices Act (FDCPA) which prohibits deceptive, unfair, and harassing debt collection activity. (15 U.S.C. Section 1692 et seq.)
- 2) Requires a debt collector to send a consumer a written notice containing information validating the debt, including the amount of the debt and the name of the creditor to whom the debt is owed. Provides the consumer with 30 days to dispute the debt or to request the name and address of the original creditor, if different from the current creditor. (15 U.S.C. Section 1692g)

**EXISTING STATE LAW**

- 1) Regulates the collection of consumer debt under the Rosenthal Fair Debt Collections Practices Act ("Rosenthal Act"), which generally prohibits deceptive, dishonest, unfair, and unreasonable debt collection practices by debt collectors and regulates the form and content of communications by debt collectors to debtors and others. (Title 1.6C of Part 4 of Division 3 of the Civil Code, Section 1788 et seq.)
- 2) Regulates the activities of a debt buyer, including requirements for debt buyers to have specified evidence of the origin, balance, payment history, and ownership history of a charged off consumer debt and to provide this evidence to a debtor upon request. (Title 1.6C.5 of Part 4 of Division 3 of the Civil Code, Section 1788.50 et seq.)
- 3) Prohibits a debt buyer from making any written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer possesses specified information, including the date of default or the date of the last payment. (Civil Code Section 1788.52)
- 4) Defines a "debt buyer" as a person or entity that is regularly engaged in the business of purchasing charged-off consumer debt for collection purposes, whether it collects the debt itself, hires a third party for collection, or hires an attorney-at-law for collection litigation.

- 5) Defines “charged-off consumer debt” as a consumer debt that has been removed from a creditor’s books as an asset and treated as a loss or expense.

**THIS BILL**

- 1) Prohibits a creditor from selling or assigning a consumer debt, except for a mortgage debt, to a third party unless the creditor has provided notice to the debtor 30 days prior to the sale that contains the dollar amount of the outstanding debt and the name of the party to whom the debt will be sold. Requires the creditor to provide the notice to the purchaser of the debt that is the subject of the notice.
- 2) Pursuant to the Rosenthal Act, defines “delinquent debt” as a consumer debt, other than a mortgage debt, that is past due at least 30 days and has not been charged off.
- 3) Requires a debt collector to which a delinquent debt has been assigned for collection to provide to the debtor, upon the debtor’s request, a statement that includes all of the following information:
  - a) That the debt collector has authority to assert the rights of the creditor to collect the debt.
  - b) The debt balance and an explanation of the amount, nature, and reason for all interest and fees, as specified.
  - c) The date the debt became delinquent or the date of the last payment.
  - d) The name and an address of the creditor and the creditor’s account number associated with the debt.
  - e) The name and last known address of the debtor as they appeared in the creditor’s records before the assignment of the debt to the debt collector.
  - f) The names and addresses of all persons or entities other than the debt collector to which the debt was assigned. The names and addresses shall be in sufficient form so as to reasonably identify each assignee.
  - g) The California license number of the debt collector.
  - h) A copy of the notice sent by the creditor that the delinquent debt was being sold or assigned, as specified.
- 4) Prohibits a debt collector to which delinquent debt has been assigned from making a written statement to a debtor in an attempt to collect a delinquent consumer debt unless the debt collector has access to proof of contract, as specified, and a copy of the notice described in #1 above.
- 5) Requires a debt collector to provide the information described in #3 above within 15 days of a debtor’s request, as specified. Prohibits debt collection activity after the 15 day window if the information is not provided, as specified.
- 6) Requires a debt collector to which delinquent debt has been assigned to include in its first written communication with the debtor a prominent notice about the debtor’s rights to request records described in #3 above.

- 7) Prohibits a debt buyer from making any written statement to a debtor in an attempt to collect a consumer debt unless the debt buyer possesses the required notice described in #1 above.

## **COMMENTS**

### **1) PURPOSE**

According to the author, the purpose of this bill is to give transparency to debtors, specifically on who owns their debt or has the right to collect their debt. The author also expresses the intent to apply similar documentation requirements in current law, which apply to debt buyers, to debt collectors.

### **2) BACKGROUND**

According to the author's office, consumers are being sued by debt collectors who sometimes lack sufficient documentation to identify where the debt originated. In some cases, a debtor may ask the debt collector to provide information required by the Fair Debt Buying Practices Act, such as proof that the debt collector has the right to collect the debt and sufficient information so that the debtor can determine if they are the correct debtor and if they actually owe the debt. In cases where the debt in question was not charged off and sold, the debt collector does not have any legal obligations under the Fair Debt Buying Practices Act, which covers charged-off debts. This leaves the debtor with the burden of conducting their own research to determine if the debt is really theirs and whether they owe the amount claimed by the debt collector.

If all debt collectors had a reputation for accurate recordkeeping, then this bill may not be necessary. In practice, however, some debt collectors have behaved in a manner that casts doubt on their ability to prevent innocent consumers from being held liable for amounts they do not owe. Debt collectors have sued the wrong person, sued on inaccurate amounts, or have sued with incomplete information.<sup>1</sup> Although federal law applicable to debt collection establishes some validation requirements of a debt, the author's office argues that federal law is insufficient to protect consumers due to the less comprehensive definition of "debt collector" under federal law and the lack of more specific validation requirements that inhibit a debtor from defending against the claim.

### **3) DELINQUENT DEBTS VS. CHARGED-OFF DEBTS**

The author intends for this bill to improve transparency for consumers who are subject to collections activities, regardless of whether their debt has been charged off or is only delinquent. As discussed in the next section, existing law provides transparency for consumers if the debt related to the collections activity has been charged off. The term "charge off" generally refers to the situation where a creditor, in compliance with generally accepted accounting principles, determines that a loan will not be repaid as agreed upon and removes that loan from its balance sheet. Instead of the loan serving as an asset representing an investment that will provide a profit over time, a charged-off loan is an expense that reduces the creditor's profit because the debtor is not expected to repay the loan. In some cases, the creditor will attempt to sell the charged-off debt to a debt buyer who purchases the legal rights to act as the creditor in attempting to collect the debt. A person who attempts to

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<sup>1</sup> <https://www.responsiblelending.org/sites/default/files/nodes/files/research-publication/crl-california-debt-oct2020.pdf>

collect a charged-off debt is required to comply with the state Fair Debt Buying Practices Act, in addition to the state and federal versions of the Fair Debt Collection Practices Act when engaging in collections activities.

A delinquent debt describes a debt where the consumer has fallen behind on their loan payments. Falling behind on loan payments is a fairly common event and does not necessarily mean the loan will ultimately be charged off, though a loan that remains in delinquent status will eventually be charged off.<sup>2</sup> When a loan falls into delinquent status, some creditors decide to assign the debt to a third-party collector, often because the third party may have comparative advantages relative to the creditor in collecting past-due accounts. In cases where the transfer of the debt is not structured as a charge off and sale, the third-party collector is not subject to the requirements of the Fair Debt Buying Practices Act, which contains stronger validation requirements than the federal Fair Debt Collections Practices Act to which the third party must comply.

#### 4) PARITY IN REQUIREMENTS FOR DELINQUENT AND CHARGED-OFF DEBTS

In 2013 California enacted the Fair Debt Buying Practices Act (FDBPA) in response to concerns that debt buyers were attempting to collect debts that were attributed to the wrong consumer, time-barred and thus unenforceable, and debts that were already repaid. The FDBPA covers consumer debts that have been charged off. The law requires, among other things, that a debt buyer possess specified information related to the debt prior to attempting to collect, including specified information about the debt buyer's authority to assert rights as the creditor to collect the debt, the debt balance, the date of default or last payment, identifying information about the debtor, and identifying information about the creditor and any person who has purchased the debt since it was charged off. These requirements were established to prevent situations where creditors were selling charged-off debts to third parties with little or no supporting documentation, leading to collections activities that targeted the wrong consumer or targeted the correct debtor for an incorrect amount. This bill borrows heavily from the documentation requirements of the FDBPA and applies those requirements to debt collectors collecting delinquent debts. If enacted, this bill would provide similarly situated debtors with access to similar information that may help them defend against the claim of a debt collector.

#### 5) CREDITOR NOTIFICATION REQUIREMENT DOES NOT REFLECT MARKET PRACTICES

In addition to the proposed documentation requirements that must be maintained by a debt collector, this bill would require a creditor to provide to a consumer at least 30 days before selling the debt a notice that contains the dollar amount of the outstanding debt and the name of the party to whom the debt will be sold. In many cases, however, a creditor will not know the identity of the party who will buy the debt in the future as these transactions may occur with little advance notice or in a competitive market where debt buyers bid on the charged-off debt. Similar to debts that are sold, a creditor who assigns delinquent debts to a third-party may not know the identity of the third party until the actual assignment is made.

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<sup>2</sup> Accounting requirements and practices differ somewhat between types of creditor. Bank regulatory accounting requirements state that open-end accounts should be charged off after 180 days of delinquency and that closed-end accounts should be charged off after 120 days (source: <https://www.gao.gov/assets/gao-09-748.pdf>).

The author intends the creditor notification provision to provide a consumer with information about who is legally allowed to collect their debt. The author argues that the consumer is more likely to interact with written communications from the creditor compared to a third party of whom they are likely unfamiliar. The author should be able to meet his intent without disrupting existing market practices related to assignment and sale of debts with a modest amendment. Rather than requiring the creditor provide the notice 30 days prior to sale or transfer, the provision could be modified to require the notice within a certain time period *after* the sale or transfer. Such an amendment would reflect legal requirements in other states related to similar notices, commonly referred to as “goodbye letters.”

## 6) FEDERALISM AND DEBT COLLECTION

Generally, federal laws related to debt collection only preempt state laws to the extent that the laws conflict and that complying with both state and federal law is practically impossible. Related to debt collection, federal law establishes minimum standards with which all collectors must comply, while allowing states to establish stronger protections for consumers. This bill borrows an unnecessary provision from the FDBPA that attempts to acknowledge areas of potential conflict between state and federal law, but instead of clarifying, the provision confuses the applicability of state law. Given that the federal FDCPA provides language on inconsistencies between state and federal laws, state law may remain silent.

## 7) ARGUMENTS IN SUPPORT

The Center for Responsible Lending and Public Law Center, a 501(c)(3) legal aid organization, argue that the FDBPA helped to address issues of debt buyers collecting the wrong debts and believe that this bill will help to prevent similar situations in the context of collecting delinquent debts. The organizations also state their belief that the creditor notification requirement will reduce a consumer’s suspicions of fraud or scams when the consumer is contacted by a collector with whom they have not previously interacted.

## 8) ARGUMENTS IN OPPOSITION

The California Bankers Association, California Credit Union League, and California Creditors Bar Association argue that the bill is premature given expected federal rules related to debt collection that may go into effect soon. The organizations also state that several terms in the bill require further defining and refinement, including “delinquent debt” and “assigned for collection,” but the organizations do not provide specific recommendations for how these terms should be defined.

## 9) AMENDMENTS

- a) The Rosenthal Act is a strict liability statute, which exposes debt collectors to financial risk if they do not comply with each requirement in the law. To reduce liability, debt collectors prefer that certain requests from consumers be made in writing.

### Recommended amendment:

Require that the request from a consumer described in subdivision (a) of Section 1788.14.5 be made in writing.

- b) Federal law provides 30 days for a debt collector to provide a consumer with validation documents upon the consumer's written request. This bill provides a debt collector with 15 days to comply with a request for specified validation documents that go beyond the federal law.

Recommended amendment:

Change the time period for which a debt collector must comply with a request from a consumer as described in subdivision (c) of Section 1788.14.5 from 15 days to 30 days.

- c) As outlined in section #6 above, federal law only preempts a state law when there is an inconsistency that makes it practically impossible to comply with both. State law does not need to restate or attempt to clarify the federal law.

Recommended amendment:

Delete subdivision (f) from Section 1788.14.5.

- d) The provision describing the notice that a creditor must provide to a consumer prior to a debt being sold or transferred is intended to apply to a delinquent debt, not a charged-off debt. This provision, therefore, belongs in the Rosenthal Act, rather than the FDBPA. Additionally, the provision does not reflect the market realities of how delinquent debts are assigned or sold to debt collectors, as outlined in #5 above.

Recommended amendment:

Change the section number of the creditor notification provision from 1788.53 in the current bill to Section 1788.14.4 and make conforming technical changes. Change the time period of the notification requirement from 30 days prior to sale or transfer to within 5 days after sale or transfer.

## 10)PRIOR AND RELATED LEGISLATION

SB 233 (Leno and Correa), Chapter 64, Statutes of 2013, enacted the Fair Debt Buying Practices Act.

## LIST OF REGISTERED SUPPORT/OPPOSITION

### Support

Center for Responsible Lending  
Neighborhood Legal Services of Los Angeles County  
Public Law Center

### Opposition

California Bankers Association  
California Credit Union League  
California Creditors Bar Association  
California Financial Services Association

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